Interagency Guidance on Leveraged Lending

Office of the Comptroller of the Currency, Board of Governors of the Federal Reserve System, and Federal Deposit Insurance Corporation. Issued March 21, 2013.

UNDERWRITING STANDARDS

A leverage level after planned asset sales in excess of 6.0x Total Debt to EBITDA raises concerns for most industries.

Institutions should define leveraged lending in their policies. Common definitional criteria include transactions where the borrower's Total Debt to EBITDA exceeds 4.0x or Senior Debt to EBITDA exceeds 3.0x.

REPAYMENT CAPACITY

Base case cash flow projections should show the ability to fully amortize senior secured debt or repay at least 50 percent of total debt over a five to seven years period.